2

a i) GDP is The total output produced by a country's economy in one year. This could be measured in several ways, such as the income approach, where the final income of all households/individuals is added up. GDP is generally used as an indicator for the economic well-being of a country.

ii) The IHDI is a composite indicator, meaning it takes into account several separate factors to measure the overall economic wellbeing of a country. These indicators include wealth and income distribution and the poverty rates.

b) i) Current Account = net flow ~~out~~ in - net flow out

~~in (2017) = 974 + 400~~

= (Exports + Net current transfer) - Imports

2017:

= 974 + 400 - 1796

= -422

2018:

= 714 + 324 - 1603

= -565

change = 2018 - 2017

= -565 - -422

= -143 million USD

ii) growth = $\Delta\%$ in RGDP

$$= \frac{RGDP_{2018} - RGDP_{2017}}{RGDP_{2017}} \times 100$$

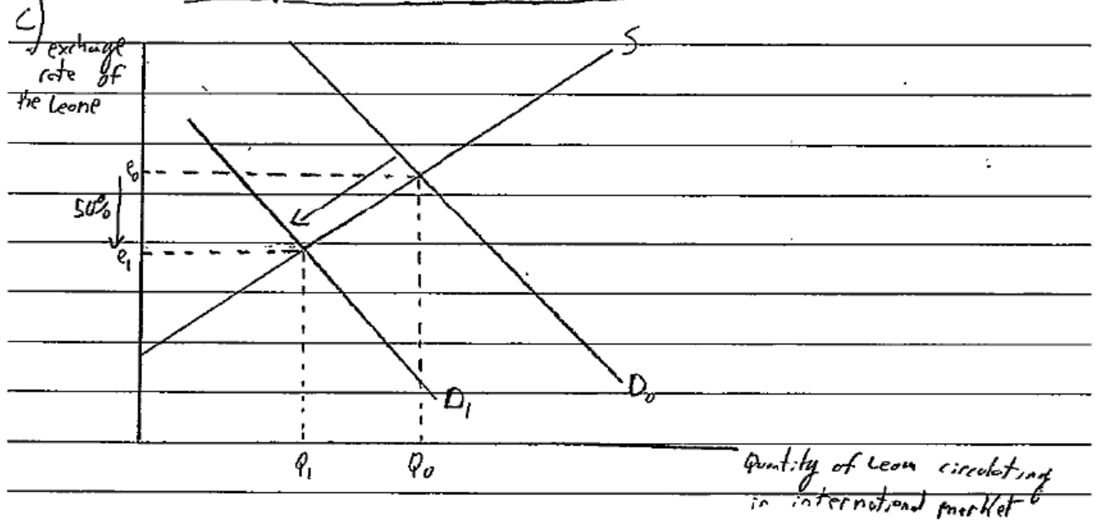
$$= \frac{3617 - 3497}{3497} \times 100$$

$$= 3.4315\%$$

~ 3.43% growth

The depreciation of the Leone

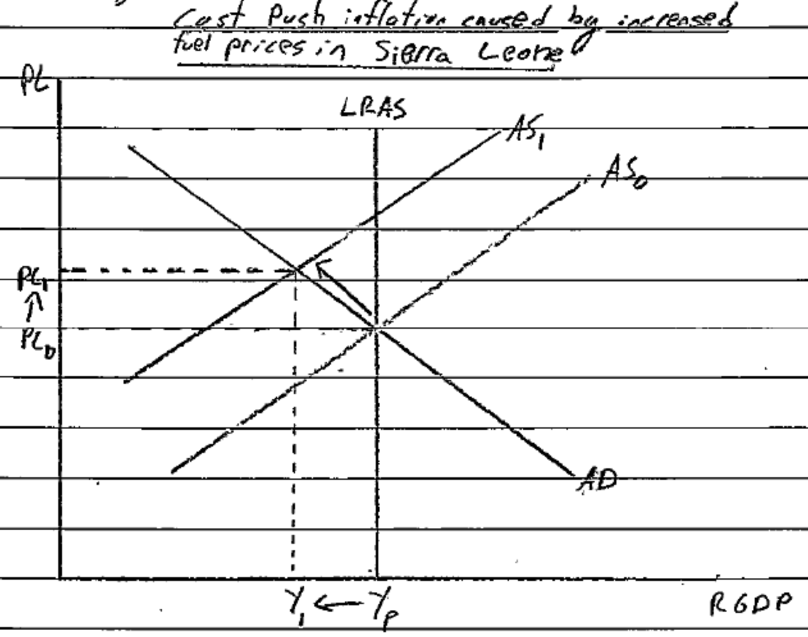
c)



One of the determinants for the demand of a particular currency is the ~~demand the~~ foreign demand for domestic goods, services or financial products. If the foreign demand for domestic goods and services decreases, this is perceived as a decrease in export revenue, as less foreign consumers are willing or able to purchase domestic goods. To purchase domestic goods, foreign consumers must first exchange their currency for the domestic currency. This is perceived as part of the demand for the Leone, so if export revenue is decreasing, less foreigners must be purchasing the Leone, and the demand for the Leone decreases, depreciating the Leone (or decreasing the

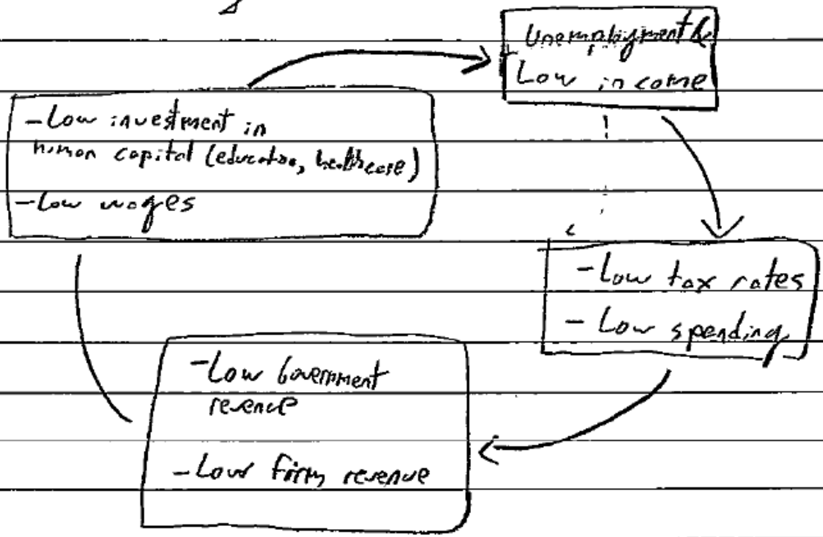
Leone's value in terms of another currency). The decrease in export revenue ~~[illegible]~~ has led to the Leone to depreciate by 50%.

d)



A large portion of Sierra Leone's economy is dependent on agriculture, which often makes intensive use of fuel-reliant machinery (such as tractors) as part of its factors of production. An increase in fuel costs would therefore directly drive up the cost of production for all firms in the agriculture sector, as well as ~~most~~ many other industries that use fuel. This would lead to an overall decrease in aggregate supply for the economy, shown as a shift from AS_0 to AS_1, increasing price levels from PL_0 to PL_1, whilst simultaneously decreasing ~~outp~~ real output from ~~Y~~ Y_p (assuming the economy was at its potential output in the past) to Y_1. The overall increase in price levels is known as inflation, and this specific type of inflation is known as cost-push inflation, and is not favorable due to its recessionary nature (the decrease in RGDP).

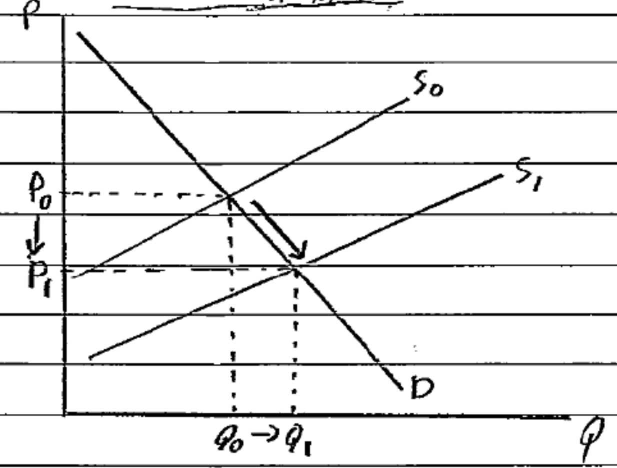
e)



The poverty cycle shows how poverty leads to greater poverty, and illustrates why it may be complicated to eleviate poverty. By investing in primary and secondary education, the goal is to increase the skillset and productivity of the future work force. By increasing education, long term unemployment should be reduced, which as can be seen in the cycle diagram, would increase ex spending and tax rates, increasing firms & govt revenue, ~~[illegible]~~ leading to higher wages, more jobs and more investment in human capital, feeding back to the loop, increasing income and reducing unemployment. Of course, this is a long term process, with results that are not immediate, and does not account for other issues like corrupt, which may impead progress.

2

f) The effect of ~~modern~~ farming Practices on the market for rice



By improving the technique and the technologies used in farming, farmers will be able to be more efficient with the resources (factors of production) at hand, being able to produce more with the same amount of resources. This ideally translates to an increase in ~~the~~ supply ~~in~~ in the rice market as improved technique and technology is a non-price determinate of supply, increasing supply from S_0 to S_1, which would cause ~~creating~~ an extension along the demand curve as prices decrease from P_0 to P_1 and the quantity of rice sold should increase ~~increases~~ from Q_0 to Q_1.

g) Plan:

Common consensus:
Supply side policies

part of the solution

Market Based + Interventionist

- More direct impact
- Easy to start
- free

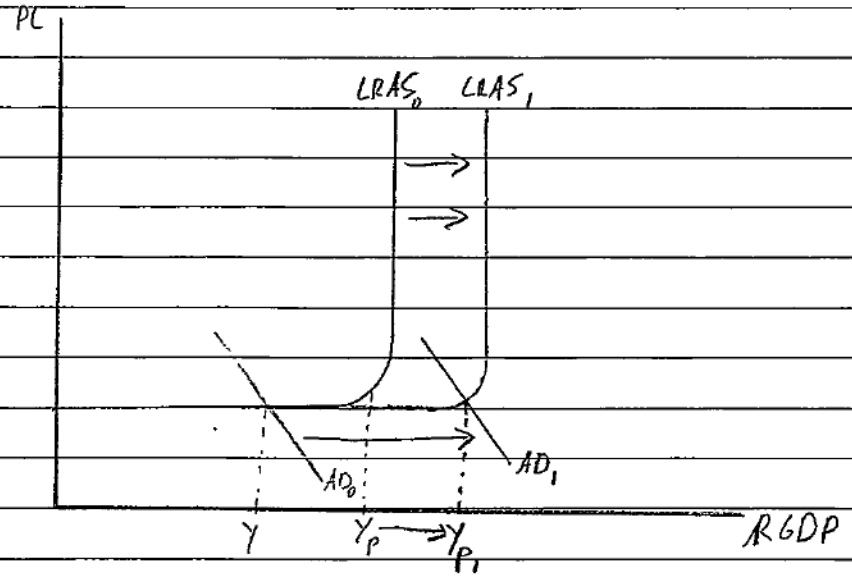
⇒ Diversification of economy

- Invest in
  - ~~roads~~ infrastructure
  - education ⇒ refer to part e
  - Healthcare ⇒ alleviate poverty

BUT
- Needs financing ⇒ Dept
- Is prone to other issues such as corruption
- Expensive to implement
- LRAS — but about now?

~~+ Aid:~~
~~- foreign direct investment~~
~~- Monetary loans?~~

The Sierra Leone Economy (fig 1)



g) ~~It~~ Sierra Leone is a developing economy, meaning it ~~[illegible]~~ is an economy that particularly struggles with issues such as high poverty, high unemployment, low growth and a volatile economy, meaning economic output can largely and ~~and~~ unpredictedly change from year to year. To combat all these issues and transition the Sierra Leone economy from a developing economy to a stable and developed economy, a range of different solution ~~are~~ and are, being implemented including ~~the~~ Interventionist policies, market-based solutions and foreign aid.

<Graph of problem on previous page (fig 1)>

Interventionist policies are ~~a~~ supply-side policies involving the government investing in specific sector with aim of increasing the long-term output of the ~~e~~ economy. In the context of developing economies, interventionist ~~[illegible]~~ policies have the goal of reducing poverty and unemployment, increasing growth, and also helping reduce the volatility of the economy. The main sectors of investment are generally infrastructure, education and healthcare. According to text E, the Sierra ~~Leone~~ Leone Government has introduced a "five year plan" (¶1). The plan aims to ensure "free primary and secondary education". Through investments in education, issues such as poverty are addressed in the long term, as explained in Part e) of the question. Not only does ~~it~~ this policy combat poverty and unemployment, but ~~it~~ may also help with creating a more secure economy in the long run. Sierra ~~Lea~~ Leone suffers greatly from ~~relying to such a~~ volatility, with economic growth fluctuation from "+20.1% in 2013 to -21.5% in 2015". These huge fluctuations prohibit ~~the~~ development (due to the low economic security they guarantee) and are ~~mainly~~ caused due to the economy relying "70%" on only two factors, agriculture and ~~mining~~ mining (P1, text D). Through education, Sierra Leone has a chance of diversifying its industries so now the future workforce may have a larger skillset. Diversification of the economy could be in the manufacturing industry for example, which currently only provides 2% of the country's GDP (text E, P4).

The 5 year plan also aims to invest in infrastructure, such as the electrical grid, which according to the world bank, (TxtF) is one of the main factors prohibiting economic development. These policies however are very expensive to implement and and have surely contributed in part to the high government dept of 62%.

~~The~~ Foreign aid in the form of direct foreign investment for example may help elevate some of these costs, but in the long term, foreign aid is not a sustainable solution, as it must be payed back sooner

2

on later. This leads to other alternative solutions that can be implemented in parallel to interventionist policies, such as market based policies. ~~These policies~~ ~~[illegible] [illegible] such [illegible]~~